# Policy FAQs

## Why do I need to set aside a Retirement Sum in my CPF?

Setting aside a Retirement Sum in your Retirement Account (RA) ensures that you can receive monthly payouts from your payout eligibility age. It is important because it provides a financial safety net for your retirement years as these payouts will support your basic expenses in retirement.

Did you know? A monthly streaming of retirement benefits is not unusual. Pension systems worldwide have similar designs.

It is not mandatory for you to top up your RA if you are unable to set aside your Full Retirement Sum (FRS). However, you may wish to top up your RA for higher monthly payouts. You can also enjoy tax relief for cash top-ups up to the FRS. You can use the Monthly Payout Estimator to estimate how much you need to top up to reach your desired monthly payouts.